Land prices and prices for many commodities rose out of sight during the years of rapid inflation that finally began to ebb in 1981. During this heady period, farmers borrowed billions using the inflated value of their property as collateral. Many overextended themselves, assuming they would be able to repay these big loans with inflated dollars. As inflation came down, however, so did the value of their land and, in some cases, the prices they received for their products. They still had to pay off their loans at double-digit interest rates, and after a while some banks began calling in their notes, pointing out that the land wasn't as valuable as the farmers had once said it was.

Meanwhile, American farmers had new competition. Once, they had had the only game in town and were relied upon to feed a large part of the world. But during the 1960s and 1970s, other countries began developing—often with help from some of our best farmers and agronomists—an agricultural base that was capable not only of feeding their own people but of producing enough grain and other food for export. Many countries, including some of our allies, were not content to let the free market determine prices in the export market; they subsidized farmers to overproduce, glutting the market and bringing down the prices received by our farmers.

Coupled with the growing competition from abroad and droughts and other natural disasters at home, the crippling debt that farmers had taken on caused tens of thousands of them to lose their farms during the early and mid-eighties. Through it all, the farmers who suffered most were those who had been encouraged to overproduce by the billions of dollars available in federal subsidies.

About half of American farmers—fruit and vegetable growers, for example—operate essentially outside the subsidy system. Although they are subject, like all farmers, to the whims of nature, their fortunes are largely